

CH – 1 ACCOUNTING BASICS

(B) DOUBLE ENTRY BOOK – KEEPING SYSTEM

Home Assignment – 9 [Fundamental accounting equation]

1. A business has capital of Rs.10,000.

Which of the following asset and liability figures could appear in the accounting equation?

	Assets (Rs.)	Liabilities (Rs.)
(a)	6,000	16,000
(b)	6,000	4,000
(c)	10,000	10,000
(d)	14,000	4,000

2. Which of the following is incorrect?

	Assets (Rs.)	Liabilities (Rs.)	Capital (Rs.)
(a)	7,850	1,250	6,600
(b)	8,200	2,800	5,400
(c)	9,550	1,150	8,200
(d)	6,540	1,120	5,420

3. The correct form of accounting equation is

(a)	Assets + Liabilities = Equity	(b)	Assets – Liabilities = Equity
(c)	Assets – Trade payables = Equity	(d)	Assets + Receivable = Equity

4. If during the accounting period the assets increased by Rs.7 million, and the owner's equity decreased by Rs.3 million, then the liabilities must have;

(a)	Increased by Rs.10 million	(b)	Increased by Rs.4 million
(c)	Decreased by Rs.4 million	(d)	Decreases by Rs.10 million

5. One of the local fast-food outlets hired a person to oversee the cash-collection procedures.

When the firm pays his weekly wage, the transaction will effect accounting equation as:

- (a) Increase an asset, increase a liability
- (b) Decrease an asset, decrease a liability
- (c) Increase an asset, increase owner's equity
- (d) Decrease an asset, decrease owner's equity

6. QK Company records the transaction as a debit to Consultant Expense for Rs. 500,000 and an equivalent credit to Accounts Payable.

What would be impact on elements of accounting equation?

- (a) Increase a liability, increase owner's equity
- (b) Decrease an asset, decrease a liability
- (c) Increase a liability, decrease owner's equity
- (d) Decrease an asset, decrease owner's equity

7. The owner contributes his personal car to the business
- Increase an asset, increase a liability
 - Decrease an asset, decrease a liability
 - Increase an asset, increase owner's equity
 - Decrease an asset, decrease owner's equity
8. An asset was purchased for Rs. 1,000,000 with the down payment of Rs. 200,000 in cash and balance of Rs. 800,000 will be payable in one month's time.
- What would be the effect of above transaction on the total asset and total liabilities?
- Assets increased by Rs.800,000 and liabilities decreased by Rs.800,000
 - Assets decreased by Rs.800,000 and liabilities increased by Rs.800,000
 - Assets increased by Rs.1,000,000 and liabilities increased by Rs.800,000
 - Assets increased by Rs.800,000 and liabilities increased by Rs.800,000
9. Which of the following is correct representation of accounting equation?
- Assets – Liabilities = Capital
 - Liabilities – Assets = Capital
 - Capital – Liabilities = Assets
 - Capital – Assets = Liabilities
10. The goods are given as charity, which of the following is correct effect?
- Increase in liability, increase in asset
 - Increase in asset, decrease in asset
 - Increase in income, decrease in asset
 - No effect on accounting equation
11. Capital of Bhai Bhai Associates (BBA) was Rs. 250,000. Which of the following is correct representation of accounting equation?
- | | Assets | Liabilities |
|-----|-------------|-------------|
| (a) | Rs. 240,000 | Rs. 10,000 |
| (b) | Rs. 50,000 | Rs. 300,000 |
| (c) | Rs. 275,000 | Rs. 25,000 |
| (d) | Rs. 30,000 | Rs. 280,000 |
12. Total assets of business are Rs. 250,000 and current assets are 25% of non-current assets, if the liabilities of business are Rs. 100,000 and equity was 6 times more than its current liabilities, the value of net current assets (current assets minus current liabilities) shall be:
- Rs. 25,000
 - Rs. 37,500
 - Rs. 50,000
 - Cannot be calculated from above data
13. Borrowing money for business purposes by owner and withdrawal of 50% amount (**for personal use**) on same day from borrowing amount is business transaction. The effect on this business transaction on accounting equation shall be:
- Increase in asset and increase in liability
 - Increase in asset; increase in liability and decrease in equity
 - Increase in asset and decrease in liability
 - Increase in asset; decrease in equity and decrease in liability
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